

M/S Capital Polymers Industries (P) Ltd. v. Executive Engineer, Electricity Distribution Division & Ors.

High Court of Judicature at Allahabad · Division Bench · 22 October 2018 (writ disposed of), as modified in review on 10 May 2019 — order-sheet 19.12.2012 to 10.5.2019 · WRIT - C No. 66463 of 2012 (with Review Application No. 09 of 2018) · **Writ petition disposed of on 22.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.) without quashing the recovery: the demand of Rs.55,33,268 arose from an admitted computer/multiplier billing error (the correct multiplier of 02 having been wrongly fed as 01, so that the petitioner had earlier paid roughly half the amount due), which was later rectified, and the petitioner had itself offered by letter dated 5.12.2012 to pay the entire amount in 60 installments without interest — so the Court found no occasion to quash the recovery and held that 'allowing of an amendment application does not amount to allowing of the prayer'. It directed the Executive Engineer (respondent no.1) to consider the petitioner's request (installments and no interest, which the department had itself offered on 13.12.2012) in accordance with law within six weeks, the recovery to abide by his orders, and the Rs.5 lakh already deposited under the interim order to be adjusted. On Review Application No. 09 of 2018 (order dated 10.5.2019, Pradeep Kumar Singh Baghel and Harsh Kumar, JJ.), the respondents consenting, the judgment was modified to grant the petitioner liberty to make a representation to respondent no.1 within two weeks raising only the limitation issue under Clause 6.15 of the Supply Code (arrears older than two years), to be addressed in accordance with law preferably within two months. Separately, by order dated 13.8.2018 the Court imposed Rs.2,00,000 cost on the Electricity Department for its 'callous, indifferent and casual' non-compliance with a peremptory order, to be remitted to the Advocate Association, High Court, Allahabad; the cost was deposited on 24.8.2018.**

Source file: WRIC(A)_66463_2012.pdf

HEADNOTE

Recovery of a corrected electricity demand arising from an admitted computer/multiplier billing error, on an order-sheet running 2012-2019 and disposed of (as modified in review) by relegating the surviving limitation question to the authority. M/S Capital Polymers Industries challenged a demand of Rs.55,33,268 raised by letter dated 3.12.2012, which the letter itself attributed to a computer mistake: the correct multiplier factor of 02 had been wrongly fed as 01, so that the petitioner had earlier been under-billed by roughly half; on rectification, corrected bills issued, and the petitioner by letter dated 5.12.2012 offered to pay the entire amount in 60 installments without interest. An interim order dated 21.12.2012 stayed further action under the 3.12.2012 letter subject to a deposit of Rs.5 lakh. When the Electricity Department repeatedly failed to file a counter affidavit despite a peremptory order, the Court on 13.8.2018 deprecated its 'callous, indifferent and casual attitude' and imposed Rs.2,00,000 cost (remitted to the Advocate Association), later deposited. On 22.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.) the Court declined to quash the recovery: the bills were admittedly defective and rectifiable, the petitioner had itself offered installments, and 'allowing of an amendment application does not amount to allowing of the prayer'; it disposed of the writ directing the Executive Engineer to consider the installment/no-interest request within six weeks and to adjust the Rs.5 lakh already deposited. On review (10.5.2019, Pradeep Kumar Singh Baghel and Harsh Kumar, JJ.), by consent, the judgment was modified to grant the petitioner liberty to make a representation to respondent no.1 raising only the Clause 6.15 limitation plea (no recovery of arrears older than two years), to be addressed in accordance with law. The Court did not itself adjudicate the Clause 6.15 limitation question; it relegated it to the authority.

FACTUAL SUMMARY

M/S Capital Polymers Industries (P) Ltd. filed Writ-C No. 66463 of 2012 before the Allahabad High Court challenging recovery proceedings of electricity dues initiated by the Executive Engineer, Electricity Distribution Division, Loni-II, PVVNL, Ghaziabad and others. By letter/order dated 3.12.2012 the petitioner had been asked to deposit Rs.55,33,268, an amount which, per the letter itself, was due to a computer mistake by which the petitioner had earlier been given incorrect (lower) bills: the correct multiplier factor of 02 had been wrongly substituted by 01, so that the petitioner had paid almost half of the amount actually payable. On rectification, corrected bills were raised, and the petitioner by letter dated 5.12.2012 requested payment of the entire amount in 60 installments and non-charging of interest; the Executive Engineer replied on 13.12.2012 that the department was prepared to consider granting installments and would not charge interest. By interim order dated 21.12.2012 (Ashok Bhushan and Abhinava Upadhyaya, JJ.), subject to the petitioner depositing Rs.5 lakh before 15.1.2013, no further action was to be taken in pursuance of the 3.12.2012 letter. After the writ was entertained the petitioner moved an amendment application (allowed) raising, among other grounds, that under Clause/Section 6.15 of the U.P. Electricity Supply Code, 2005 a demand of arrears for more than two years (here, the years 2005 to 2012) could not be recovered. The Electricity Department repeatedly failed to file its counter affidavit despite a peremptory order dated 26.7.2018;

on 13.8.2018 (Shashi Kant Gupta and Ajit Kumar, JJ.) the Court, deprecating the department's 'callous, indifferent and casual attitude', accepted the counter affidavit subject to a cost of Rs.2,00,000 on the Electricity Department to be remitted to the Advocate Association of the High Court, and directed the Executive Engineer to appear in person; the cost was deposited on 24.8.2018 and the personal appearance thereafter exempted. On 22.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.) the Court, finding the dispute very limited and the bills admittedly defective and rectified, held that allowing the amendment application did not amount to allowing the prayer, and that in view of the petitioner's own offer to pay in installments there was no occasion to quash the recovery; it disposed of the writ directing the Executive Engineer to consider the petitioner's installment/no-interest request in accordance with law within six weeks, the recovery to abide by his orders, and the Rs.5 lakh already deposited to be adjusted. On Review Application No. 09 of 2018 (10.5.2019, Pradeep Kumar Singh Baghel and Harsh Kumar, JJ.), the respondents having no objection, the Court modified the 22.10.2018 judgment to grant the petitioner liberty to make a representation before respondent no.1 within two weeks raising only the Clause 6.15 limitation issue, to be addressed in accordance with law preferably within two months.

REUSABLE CONSTRUCTIONS

1. Where an electricity demand arises from an admitted computer/multiplier billing error (here the correct multiplier of 02 wrongly fed as 01, causing earlier under-billing by about half) which the licensee has since rectified, and the consumer has itself offered to pay the entire corrected amount in installments, the writ court will not quash the recovery; the consumer's own offer forecloses the prayer to quash. **order of 22.10.2018**
2. Allowing an amendment application does not amount to allowing the prayer made in the amendment; the merits of a newly-pleaded ground (here, limitation under Clause 6.15) must still be established and may be relegated to the appropriate authority. **order of 22.10.2018; order of 10.5.2019**
3. The Clause 6.15 plea that arrears older than two years cannot be recovered may, by consent and on review, be relegated to the licensee/authority by granting the consumer liberty to make a representation raising the limitation issue, to be decided in accordance with law - rather than adjudicated by the writ court. **order of 10.5.2019**
4. A writ court may impose costs (here Rs.2,00,000, remitted to the Bar Association for lawyer welfare) on an electricity department that treats a peremptory court order 'too casually and carelessly' by not filing its counter affidavit, and may require the Executive Engineer to appear in person to explain the non-compliance. **order of 13.8.2018**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.15

RATIO

Recovery of a corrected demand (admitted multiplier/computer error, since rectified) not quashed given the consumer's own installment offer; the Clause 6.15 two-year-limitation plea on the 2005-2012 arrears not adjudicated but relegated, on review, to the authority

QUESTION

Where a corrected electricity demand follows an admitted billing/multiplier error and the consumer has offered to pay it in installments, should the recovery be quashed, and should the consumer's Clause 6.15 plea (no recovery of arrears older than two years) be adjudicated by the writ court?

HOLDING

The recovery was not quashed and the Clause 6.15 limitation question was relegated to the authority. The Court held that the bills were admittedly defective (multiplier 02 wrongly fed as 01) and had been rectified, that the petitioner had itself offered to pay the entire amount in installments, and that 'allowing of an amendment application does not amount to allowing of the prayer' - so there was no occasion to quash the recovery. On Review Application No. 09 of 2018, by consent, the judgment was modified to grant the petitioner liberty to make a representation before respondent no.1 within two weeks raising only the limitation issue under Clause 6.15 (arrears of more than two years not recoverable), to be addressed in accordance with law; the writ court did not itself decide the limitation plea. **order of 22.10.2018; order of 10.5.2019**

EVIDENCE "This is a clear case where the bills that were raised for demand to the petitioner were admittedly defective, inasmuch as, the correct multiplier factor of 02 had been wrongly substituted by the 01." **order of 22.10.2018**

EVIDENCE "In the background of the own offer of the petitioner that the petitioner was prepared to pay the entire amount due in installments, there is no occasion for this Court to consider the prayer for quashing of the proceedings of recovery." **order of 22.10.2018**

EVIDENCE “Allowing of an amendment application does not amount to allowing of the prayer made by the petitioner.” order of 22.10.2018

EVIDENCE “We grant liberty to the petitioner to make a representation before the respondent no. 1 within two weeks from today along with a certified copy of this order, raising the issue with regard to the limitation only as provided under Section 6.15 of the Electricity Supply Code, 2005.” order of 10.5.2019

FLAG Order-sheet of 29 pages, dated orders from 19.12.2012 to 10.5.2019 across many Division Benches, no printed page numbers; pins are order dates. The operative merits order is 22.10.2018 (Amreshwar Pratap Sahi and Harsh Kumar, JJ.), modified in review on 10.5.2019 (Pradeep Kumar Singh Baghel and Harsh Kumar, JJ.). The source uses both 'Clause 6.15' and 'Section 6.15' of the Supply Code.

HOLDING-UNIT · UP-2005::6.14

RATIO

Disposal directing the licensee to consider the consumer's request for payment by installments without interest (which the department had itself offered), adjusting the interim deposit

QUESTION

Having declined to quash the recovery, what direction should issue on the consumer's request to pay the corrected dues by installments without interest?

HOLDING

The Court disposed of the writ directing the Executive Engineer (respondent no.1) to consider the petitioner's request - to pay the dues in installments without interest, which the department had itself offered by letter dated 13.12.2012 - in accordance with law within six weeks, the recovery proceedings to abide by the Executive Engineer's orders, and the Rs.5 lakh already deposited under the interim order to be adjusted against the dues. order of 22.10.2018

EVIDENCE “department is prepared to consider granting installments and it shall not charge any interest on the amount which is due.” order of 22.10.2018

EVIDENCE “Consequently, we dispose of this writ petition with a direction to the Executive Engineer respondent no.1 to proceed to consider the said request of the petitioner in accordance with law in order to enable the petitioner to clear off the dues in view of what has been indicated hereinabove.” order of 22.10.2018

EVIDENCE “The amount of Rs. 5 lakhs which has already been deposited shall be adjusted accordingly.” order of 22.10.2018

FLAG Direction rests on the department's own offer of 13.12.2012; the Court did not fix an installment schedule itself but relegated the modalities to the Executive Engineer.

PRINCIPLE TAGS

own-installment-offer-forecloses-quashing-of-recovery The petitioner's own letter dated 5.12.2012 offering to pay the corrected demand in 60 installments left no occasion to quash the recovery; the writ was disposed of relegating the installment modalities to the Executive Engineer. order of 22.10.2018

amendment-allowed-does-not-mean-prayer-allowed Allowing the amendment application that introduced the Clause 6.15 limitation ground did not amount to allowing the prayer; the limitation merits were left to be raised before the authority. order of 22.10.2018; order of 10.5.2019

clause-6.15-two-year-limitation-relegated-to-authority On review, by consent, the petitioner was given liberty to make a representation to respondent no.1 raising only the Clause 6.15 plea that arrears older than two years cannot be recovered; the writ court did not itself decide the limitation question. order of 10.5.2019

cost-on-electricity-department-for-casual-non-compliance Rs.2,00,000 cost was imposed on the Electricity Department, deprecating its 'callous, indifferent and casual attitude' in not filing a counter affidavit despite a peremptory order, the amount remitted to the Advocate Association for lawyer welfare and the Executive Engineer directed to appear in person. order of 13.8.2018

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, UNDER CLAUSE 6.15 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, THE DEMAND FOR ARREARS OF THE YEARS 2005 TO 2012 (MORE THAN TWO YEARS OLD) WAS BARRED BY LIMITATION

Not decided by the writ court. On review the petitioner was granted liberty to raise this limitation issue by representation before respondent no.1, to be addressed in accordance with law - the point was relegated, not adjudicated. [order of 10.5.2019](#)

NOT DECIDED — WHETHER THE PETITIONER WAS ENTITLED TO A REFUND WITH INTEREST @ 12% OF THE AMOUNT ALREADY PAID

Not decided. This refund prayer (added by amendment) was not granted; the disposition rested on the petitioner's installment offer and the relegation of the limitation issue. [order of 10.5.2019](#)

RELATED CASES — SEE ALSO

SCJ-113 — Applies the Clause 6.15 two-year bar as a mandatory limit and a licensee duty to act - the very limitation provision the petitioner invoked here and which was relegated to the authority.

SCJ-1062 — On the two-year limitation for recovery of electricity arrears under Clause 6.15 - the substantive limitation question left undecided and relegated here.

SCJ-1264 — Clause 6.15(b) read with Section 56 of the Electricity Act on limitation for recovery of arrears - the same limitation family the petitioner's amendment raised.

SCJ-045 — Installment facility under Clause 6.14 for payment of dues - cognate to the direction here that the Executive Engineer consider the petitioner's installment/no-interest request.

SCJ-1265 — Costs imposed on a State instrumentality for its conduct in litigation - like the Rs.2,00,000 cost imposed here on the Electricity Department for casual non-compliance with a peremptory order.